



Inventory

Companies have to manage inventory (stock) to meet customer demand, even if they trade online and have no physical storefront. Successful inventory management is a complex process.

How it works

Stock may include finished goods, work in progress, and raw materials. Getting the right level is a balance between having enough to meet customer demand and having too much, which is costly in terms of finished goods, storage space, and warehouse staff. Stock may also lose value if it perishes or become unsalable because of changes in fashion or obsolete technology.

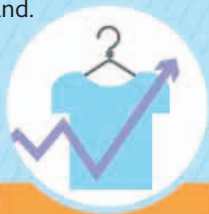
Effective inventory management involves systems and programs for sales forecasts, production targets, and actual inventory status, plus the physical tracking and handling of the different items. Bar codes and radio-frequency identification (RFID) tags have revolutionized inventory management, making it much easier to monitor stock levels.

Inventory management

Successful inventory management is a fine balance between satisfied customers and minimizing the risk of holding too much stock. In this example, the clothing company is managing the supply of T-shirts for a range of sites and for direct delivery to customers.

Make sales forecasts

The company sets production targets based on prediction of demand.



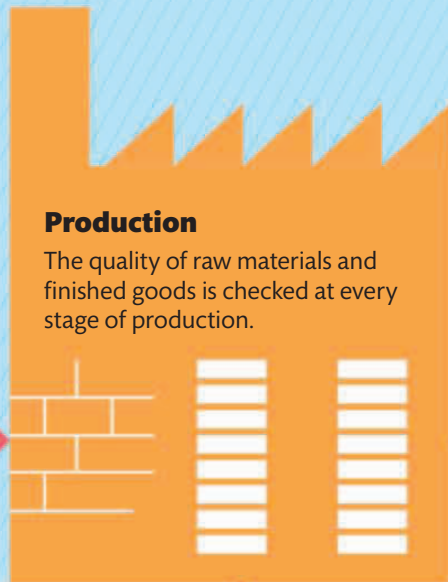
Order from suppliers

Decisions on the level of raw materials to hold are based on lead times and reliability of suppliers.



Production

The quality of raw materials and finished goods is checked at every stage of production.



Smaller storage

Firm may use smaller facilities to hold buffer stock—for example, to meet seasonal demand.

